The 46 Companies and the Wisdom of Not Knowing

Over a century, a tiny group created half of U.S. market wealth.
The lesson is not better prophecy. It is honesty about uncertainty.

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The stock market is often described as if it were a democratic machine.

Millions of people invest. Thousands of companies compete. Every day, prices rise and fall in public view. The language around it is full of plural nouns: *the market*, *investors*, *stocks*.

But a new study of one hundred years of U.S. market history tells a less egalitarian story.

Hendrik Bessembinder examined 29,081 firms listed on U.S. public markets between 1926 and 2025. Together, they created almost US$91 trillion of wealth for shareholders beyond what those investors would have earned in Treasury bills.

That sounds like a triumph for capitalism.

Then comes the more unsettling fact: just 46 companies accounted for half of that wealth creation.

Even more strikingly, nearly 60% of the firms in the study reduced shareholder wealth relative to Treasury bills. The median stock delivered a negative buy-and-hold return. The average return was spectacularly positive; the typical outcome was not.

This is the strange moral of markets: the whole can be brilliant even when most of its parts disappoint.

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The world after the winners are known

Looking backward makes success appear inevitable.

We see Apple, Nvidia, Microsoft, Amazon and Alphabet at the summit and imagine that their ascent must have been visible from below. We treat their dominance as evidence of a quality that was always obvious: a better product, a better founder, a better culture, a better strategy.

Sometimes it was.

But the historical record also contains thousands of companies that had promising technologies, charismatic leaders, enormous ambitions and enthusiastic investors. Many disappeared. Others survived without creating much wealth. Some produced positive returns but still fell behind the wider market or Treasury bills.

The temptation is to believe that the winners were simply easier to recognize than they really were.

This is a form of hindsight bias, but it is also something deeper. We prefer a world in which good judgment is reliably rewarded because it gives us a feeling of control. If the great winners were always identifiable, then perhaps we too can find the next one.

The data offer a more uncomfortable possibility: extraordinary outcomes are real, but they are rare, unevenly distributed and difficult to identify in advance.

The market's greatness is not proof that most individual predictions are correct.

It may be proof that a small number of outcomes can carry an entire system.

The philosophical mistake: confusing outcome with foresight

The Stoic philosopher Epictetus drew a distinction between what is within our control and what is not.

Our effort is ours. Our preparation is ours. Our attention is ours. But the final result is never entirely ours.

That idea is often misunderstood as an invitation to lower ambition. It is not. It is an invitation to locate ambition in the right place.

An investor can study an industry, read financial statements, meet management and form a thoughtful view. None of that guarantees that a company will become one of the few that transforms an era. Competitors emerge. Technologies change. Regulators intervene. A recession arrives at the wrong moment. A founder makes one bad decision. Or, just as importantly, someone else makes an unexpectedly great one.

The Stoic response is not to stop thinking. It is to stop pretending that thought can eliminate uncertainty.

This is where investing becomes philosophical. The question is not merely, “Which company will win?” It is, “How should I act when I cannot know which company will win?”

Diversification as intellectual humility

Diversification is usually presented as a technical rule: do not put everything into one stock.

But it is also a moral and intellectual discipline.

To diversify is to admit that our favourite story may be wrong. It is to say that even when one company looks compelling, the future may contain information that we do not yet possess. It is to accept that the most important winner may be one we have not noticed, or one that has not yet been listed.

This is not cowardice. It is humility made practical.

Bessembinder's findings explain why broad ownership of the market has been so powerful. A diversified investor does not need to identify the 46 companies that will create half of a century's wealth. They only need to remain present when those companies emerge.

That is a radically different ambition.

The heroic investor wants to discover the next Apple before anyone else.

The patient investor wants to avoid being absent when the next Apple appears.

One ambition is built on superior prediction. The other is built on a realistic view of human limits.

The lesson beyond money

This pattern does not belong only to finance.

Careers are also positively skewed. A few opportunities can change a life: one mentor, one decision to move city, one early colleague, one project that quietly compounds into a reputation. Yet we cannot know in advance which conversation or role will become decisive.

Relationships work this way too. Most encounters pass. A few form the structure of a life.

Creative work is even more extreme. A writer may produce hundreds of pages before finding the one idea that reaches people. A filmmaker may work for a decade before making the film that changes everything. The visible success makes the years of uncertainty disappear from the story.

This is why persistence matters. Not because persistence guarantees success, but because it keeps us available to the possibilities we cannot forecast.

The point is not to make reckless bets in the hope of finding a winner. It is to build a life that can survive the ordinary outcomes while remaining open to the extraordinary ones.

That may mean holding more than one skill. Keeping financial reserves. Maintaining relationships outside a single workplace. Continuing to learn after a setback. Refusing to confuse one failed attempt with a final verdict on our ability.

In markets and in life, resilience is what gives luck time to find us.

What the market really teaches

The headline number is US$91 trillion. The more revealing number may be 46.

Forty-six companies created half of the net wealth generated by more than 29,000 firms over a century. That is not a story about the average company. It is a story about the long tail of possibility.

We should be careful with the lesson.

It does not mean that every speculative dream deserves faith. It does not mean that concentration is wise, or that caution is weakness. And it does not mean that we should celebrate a system in which most efforts fail.

It means something quieter.

The future is not distributed evenly. A few events, people and institutions will matter far more than we can see from where we stand. Because we cannot reliably identify them beforehand, wisdom is not the same as certainty.

Wisdom may be the ability to act seriously without demanding omniscience from ourselves.

The market rewards the rare winner. But the mature investor learns a different lesson from that rarity:

Do your work. Make your judgments. Protect yourself from ruin.

And leave room for the possibility that the most important thing in your future is still invisible.

Are we trying to be right about everything - or are we building a life that can benefit from the few things nobody could have predicted?

SOURCES NOTE
Hendrik Bessembinder, “One Hundred Years in the U.S. Stock Markets” (working paper, 21 March 2026), analysing CRSP data from 1926-2025.
This essay is philosophical commentary, not investment advice.